

Can India match the US on AI?

A I has moved from niche research to the heart of global strategy. Today, AI is as much a matter of national security and economic competitiveness as it is about innovation. The United States and India, two of the world's most significant tech ecosystems, have rolled out ambitious national AI strategies that reflect their respective priorities, strengths, and limitations.

At first glance, there is plenty of common ground between their two strategies. Both have prioritised building domestic compute infrastructure, supporting open-source development, creating robust data ecosystems, and committing to safe and ethical AI. Both plans support indigenous models that are tailored to national needs, and both seek to influence global standards.

Yet, key differences become evident when examining the tone and depth of execution. The US is positioning itself as a gatekeeper of frontier AI, leveraging its control over chip-making, AI software, and cloud infrastructure to create a trusted club of allies. India, by contrast, is trying to build AI for all, it is trying to ensure that the benefits of AI trickle down to the very last mile.

India has already made meaningful progress. One of its standout initiatives is the national AI compute infrastructure, which includes over 34,000 GPUs accessible to startups, academia, and public projects. The AIRAWAT supercomputer, ranked 75th of the Top500 list, is now among some of the world's top AI systems, enabling research at a larger scale for Indian innovators.

In parallel, India's AI Kosh project is aggregating high-quality, anonymised datasets to support the development of models relevant to its unique demographics. This includes public sector datasets across healthcare, agriculture, language, and governance. The focus on open, non-personal data sets a foundation for broad-based innovation.

India is also investing heavily in its human capital. Equally important is India's regulatory stance. Unlike the US plan, which focuses heavily on security, compliance, and geopolitical control, India has adopted a much



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lighter-touch, innovation-friendly framework. The government is promoting techno-legal safeguards that focus on bias mitigation, ethical use, and transparency without burdening early-stage innovation.

That said, the US still holds several advantages that India cannot ignore. Its deep integration of AI into national security and defence planning has catalysed multi-billion-dollar investments in semiconductors, cloud infrastructure, and foundational model research. India, on the other hand, is still heavily reliant on imports for high-performance chips, AI accelerators, and memory. Despite some progress through production-linked incentive schemes and interest from global chipmakers, India lacks the foundry ecosystem to be truly self-reliant.

To compete with US scale-ups and unicorns, Indian AI startups need more than seed funding. They require scale-up capital, streamlined procurement, and smoother integration with global markets. The government's IndiaAI Startup Financing initiative is a good start, but it must evolve into something more aggressive. Another long-term area for improvement is basic research.

But this is not a zero-sum race. The US, with its dominance in chipmaking, compute clouds, and frontier models, can benefit from India's real-world application expertise and data diversity.

What India needs now is a tighter coupling of its public infrastructure, startup agility, and diplomatic vision. A formal India-US AI Corridor could be institutionalised to facilitate talent exchanges, co-funded research, and policy harmonisation. To future-proof its AI roadmap, India should also invest in edge computing, quantum AI research, and secure-by-design architecture. These are areas where early investment could deliver asymmetric advantages in the long run.

Ultimately, the AI race may look like a contest for supremacy, but in truth, it is about shaping a shared future. The US will push for dominance. India can push for balance. That in itself could become India's most valuable contribution to the AI era. ■